

Australian Business Conditions and Confidence, February

#businessconditions

#confidence



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Economist, Westpac

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Share

Business conditions held steady in February after weakening at the turn of the year. Conditions unchanged at 7 / Confidence -5pts to -1.

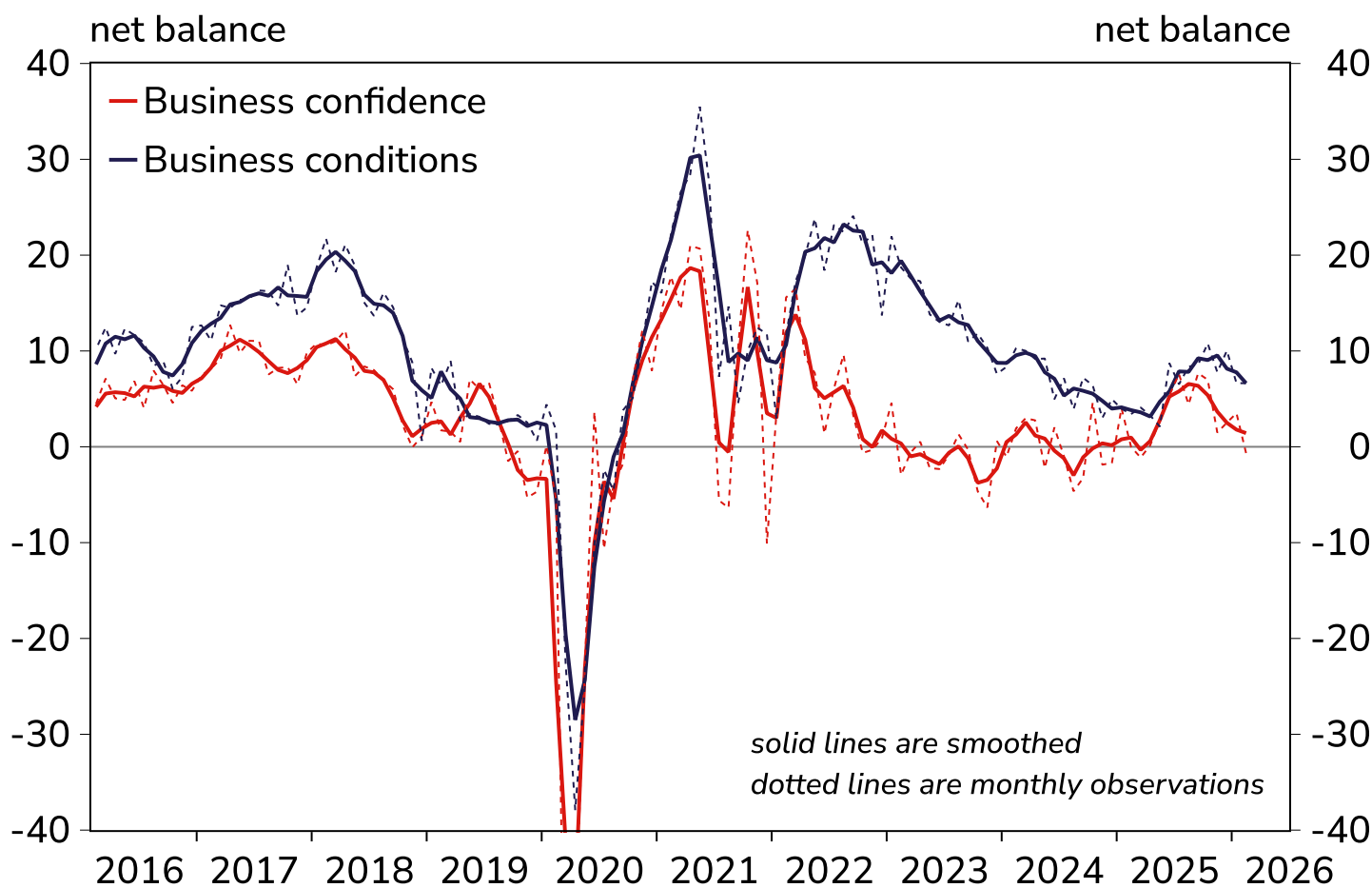


The latest NAB business survey points to a steady start to 2026. The headline business conditions index was unchanged in February at 7, matching its long-run average. Outside of a couple of slightly better reads in October and December, the index has largely held around the 7-9 range since June

2025. On a three-month average basis, this gives the impression of a slight easing in momentum in recent months, after a somewhat firmer finish to 2025.

Moves across the major sub-components were fairly modest: trading conditions rose +1pt to 12 to match its long-run average, while profitability was unchanged at 4, remaining 1pt below its long-run average. The employment sub-index jolted lower after a three-month period of stability, falling -2pts to 3, suggesting firms have become more cautious around hiring decisions amid ongoing margin pressure, despite signs of stabilising demand. This mix lends further weight to the view that the recent fall in the unemployment rate reflects softer labour force participation rather than a renewed surge in hiring.

Business conditions and confidence

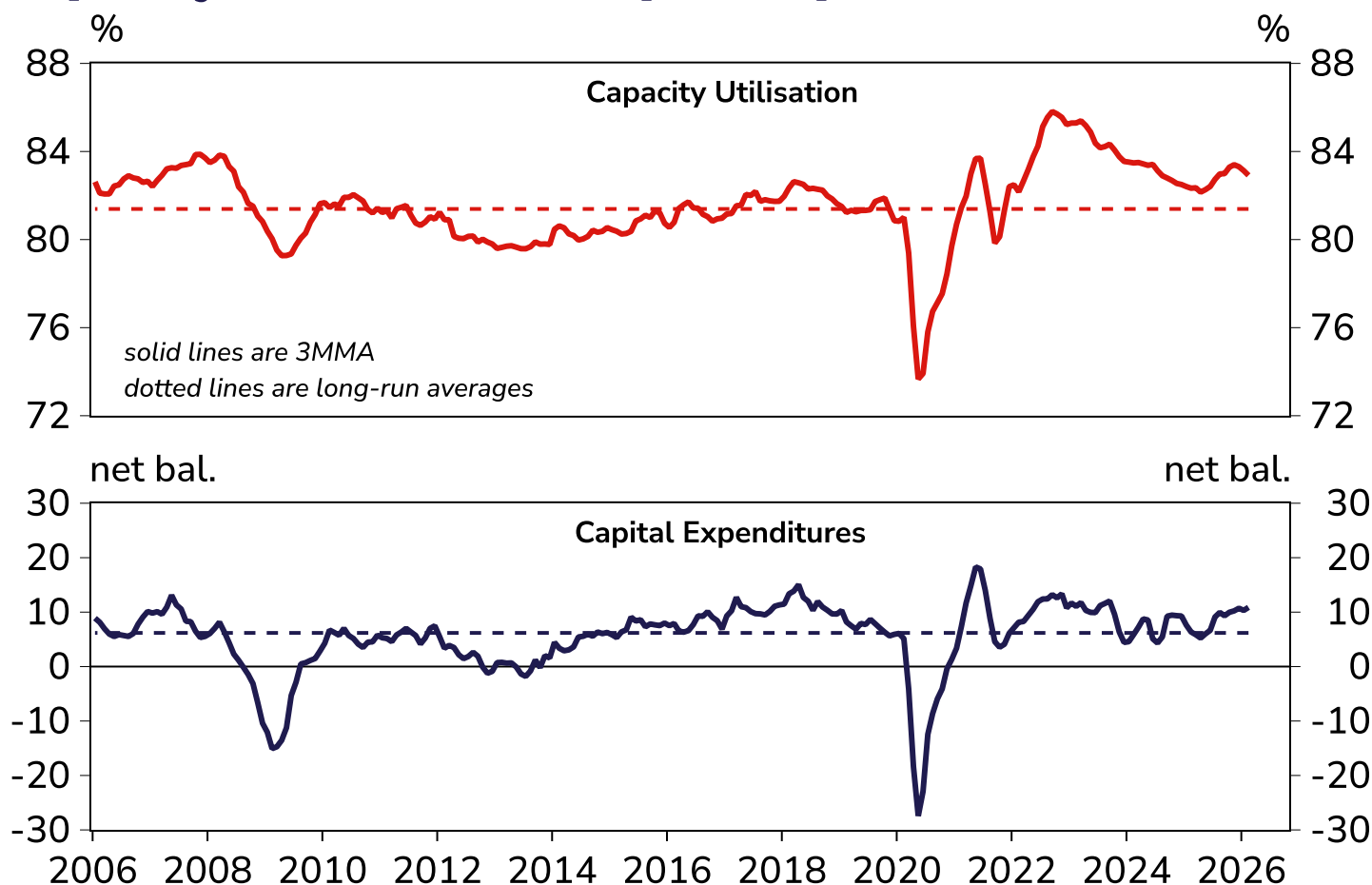


Source: NAB, Macrobond, Westpac Economics

Among other indicators, forward orders strengthened further in February, rising +4pts to +6, its strongest result since November 2022, suggesting firms are increasingly anticipating an improvement in demand. This view is consistent with the rebuild in inventories, with the stocks sub-index rising sharply by +7pts to return to positive territory at 5.

Capital expenditure recorded its strongest result since August 2023, bouncing +3pts to 13. This bodes well for the National Accounts measure of new business investment, following a stronger-than-expected 0.5% rise in Q4. Against this backdrop, capacity utilisation continues to track an easing trend on a three-month average basis, suggesting capacity pressures remain relatively contained.

Capacity utilisation and capital expenditures

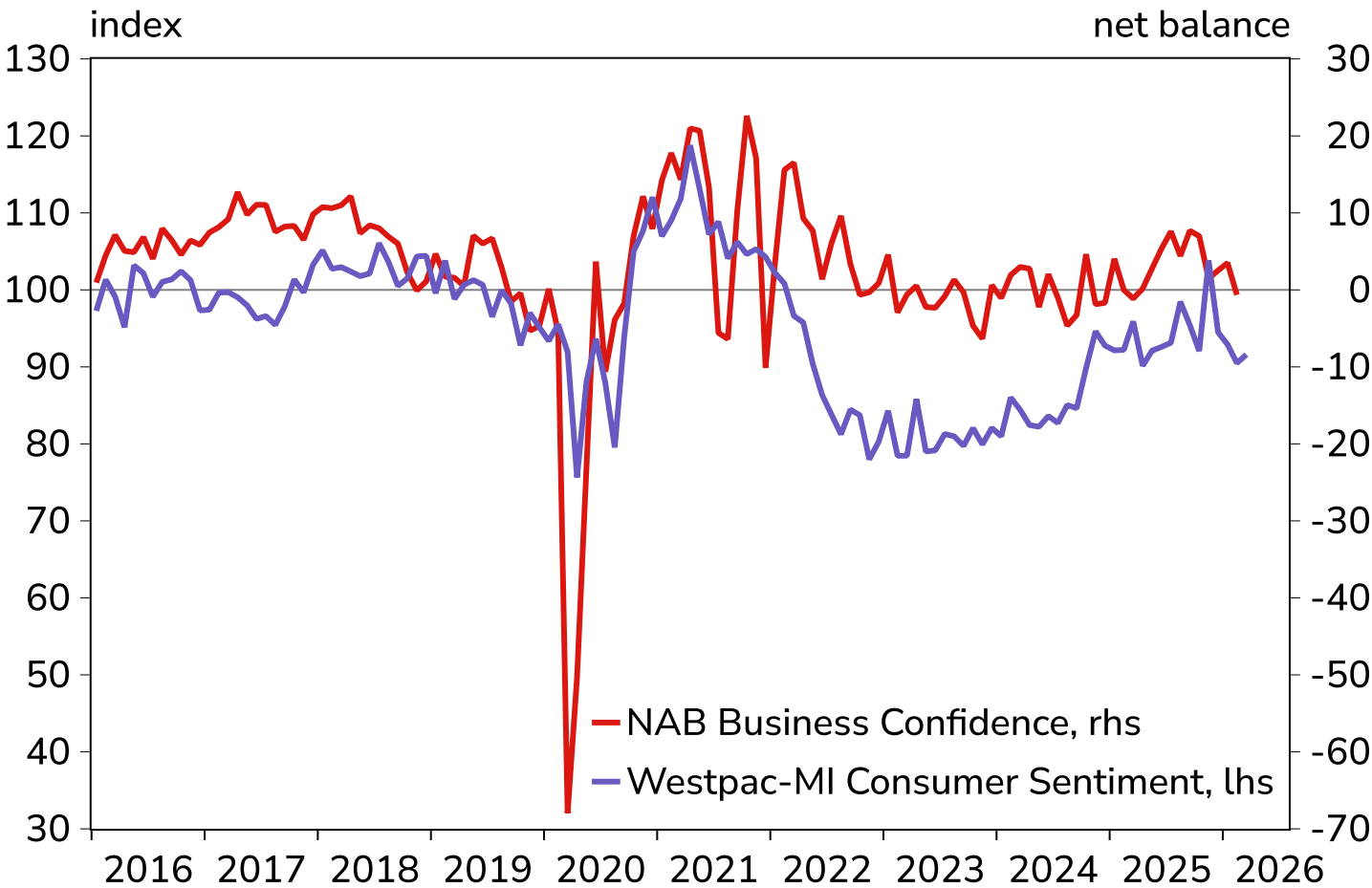


Source: NAB, Macrobond, Westpac Economics

Business confidence meanwhile deteriorated sharply in February, falling -5pts to -1 and returning to negative territory for the first time since March 2025. The tentative evaporation of optimism for businesses has coincided with a re-emergence of outright pessimism among households. As highlighted in the February [Westpac-MI Consumer Sentiment survey](#), this likely reflects the broader policy backdrop following the [RBA's 0.25ppt cash rate hike](#) in early February.

Indeed, the survey reported a renewed lift across most cost categories. The quarterly pace of purchase cost growth rose 0.4ppt to 1.5%, while labour cost growth increased 0.3ppt to 1.5%, with both measures sitting marginally above their long-run averages. However, final product price growth was unchanged at 0.5%, matching its long-run average and implying ongoing margin compression as firms continue to absorb higher costs rather than pass them through fully to prices.

Consumer vs Business Confidence



Source: NAB, Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

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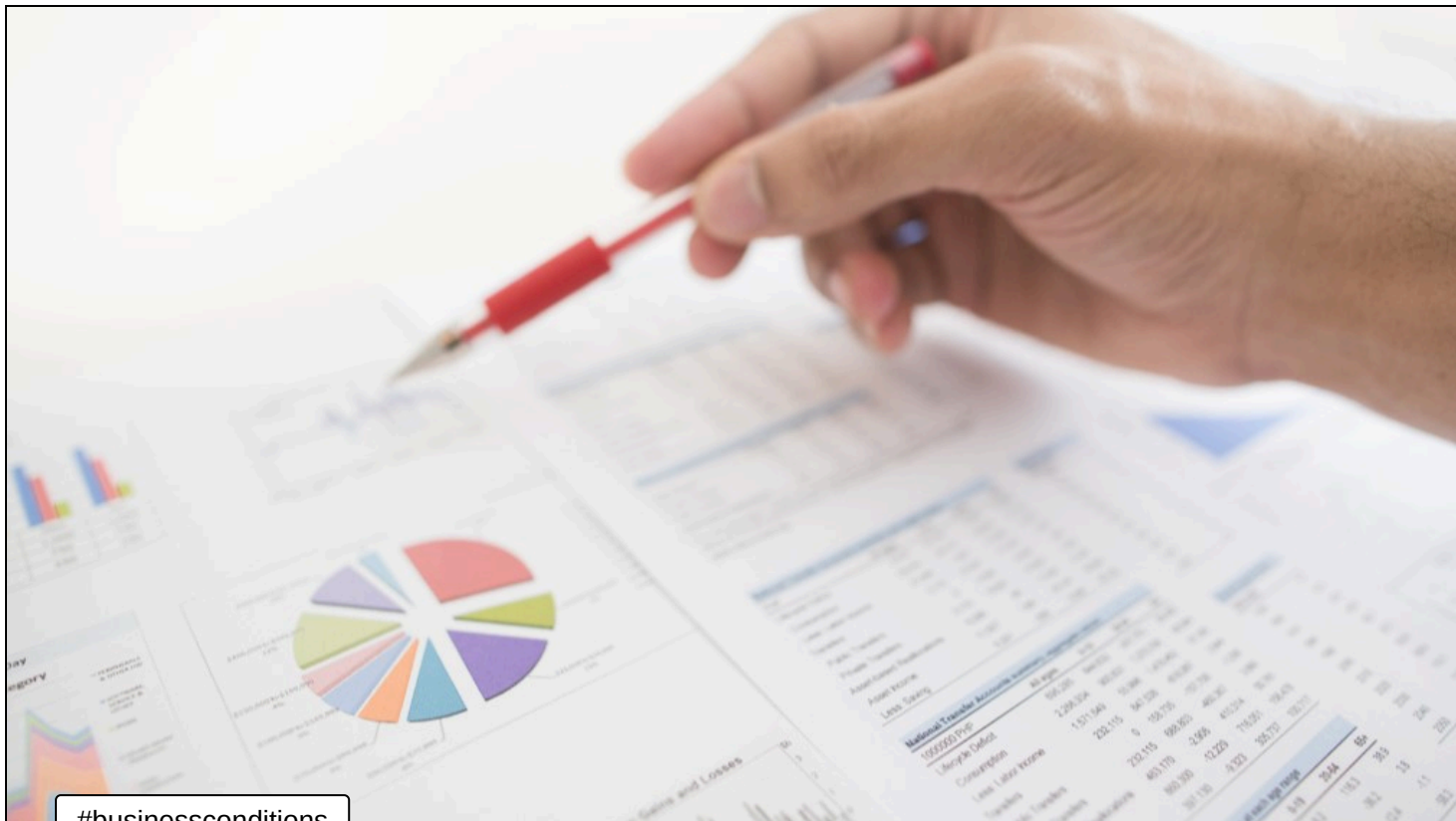


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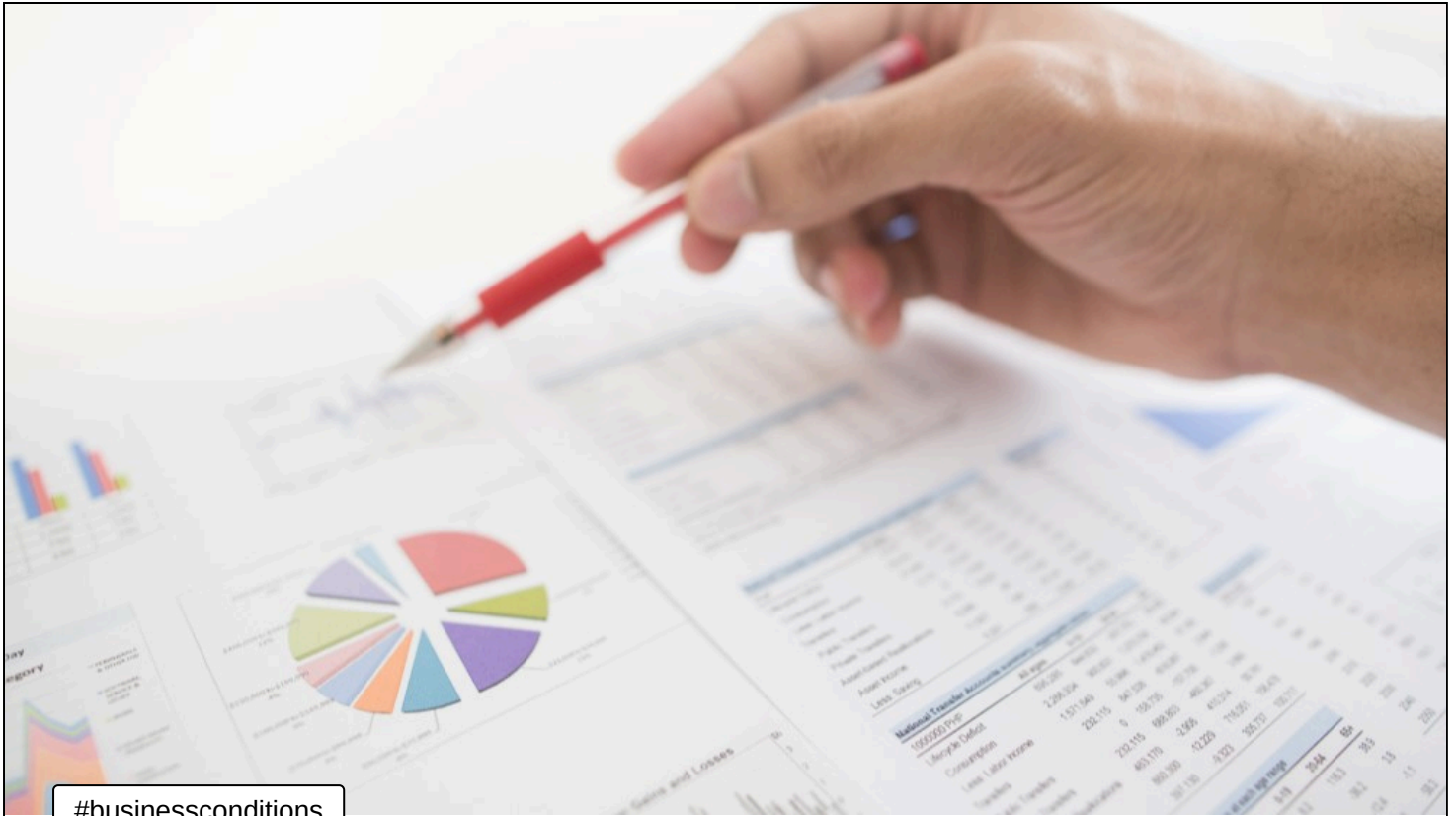


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